THE
ANNOUNCEMENT ROOM
WHAT HAPPENED. WHY IT MATTERS. WHAT COMES NEXT.

ZIP CO LIMITED (ASX: ZIP) 1Q FY27 RESULTS UPDATE | RELEASED 23 OCTOBER 2026, 8:22 AM SYDNEY

Zip's volumes grew 18%, but a US fraud event and higher bad debts held cash earnings growth to 3.4%

Zip reported a September 2026 quarter in which transaction volume (TTV) rose to A$4.6b and total income rose to A$376.1m. Cash EBTDA, the company's headline earnings measure, was A$65.0m. That includes A$10.1m of operating costs from an external fraud event in the US. Zip reconfirmed all FY27 guidance, including Group cash EBTDA of A$340m.

A$4.6b
Transaction volume
Up 18.0% on 1Q26

A$65.0m
Cash EBTDA
Up 3.4% on 1Q26

1.97%
Net bad debts, % of TTV
1.65% in 1Q26

A$75.1m
Adjusted cash EBTDA
Up 19.5%, excl. fraud costs

CASH EBTDA, REPORTED VS ADJUSTED (A$M)



Adjusted excludes the A$10.1m (US$7.2m) fraud-related operating costs, as defined by Zip. Adjusted is a company measure, not an accounting result.

US NET BAD DEBTS, % OF TTV



Management target range is 1.5% to 2.0%. US figures as disclosed by Zip.

WHAT WAS ANNOUNCED

1 Growth was strong in the US, softer elsewhere

US TTV rose 34.1% in US dollars and US revenue rose 32.0%. Group revenue was A$373.4m, up 17.2%. Australian revenue rose 8.3%. Active customers were 6.4m, up 0.1%, with Australian customers down 6.9%.

2 An external fraud event in the US

Zip says coordinated individuals opened new accounts with legitimate credentials and ran unpaid transactions. Zip contained it, which temporarily slowed TTV and new customer growth in July and August. The cost was US$7.2m (A$10.1m) of cash operating expenses. Zip has notified authorities and lodged an insurance claim.

3 Guidance reconfirmed

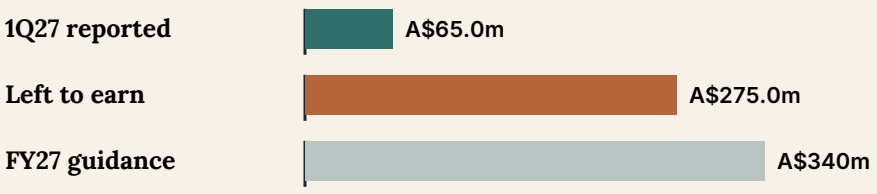
FY27 Group cash EBTDA of A$340m, up 26% on FY26's A$268.9m, along with US TTV growth above 30% and Group operating margin of 20% to 22%.

Sources: Zip Co Limited ASX announcements: "1Q FY27 results update" (23 Oct 2026); "FY26 Results Update" (20 Aug 2026); "Proposed consolidation of share capital" (16 Oct 2026). Figures are unaudited management figures. A$ unless stated. Share price moves are not used in this report.

Why it matters: the A$340m guidance now needs a much stronger final nine months

One quarter does not decide the year. But the first quarter delivered 19% of the full-year target, so the rest of FY27 has to carry more of the load.

FY27 CASH EBTDA: DONE VS STILL TO EARN (A$M)



TAR calculation: A$340m less A$65.0m is A$275.0m, or about A$91.7m a quarter over the remaining three quarters, against A$65.0m reported in 1Q27.

THREE RELATIONSHIPS WORTH KNOWING

1 Fraud versus underlying earnings

Adjusted cash EBTDA grew 19.5%, reported grew 3.4%. The gap is the A$10.1m fraud cost. Zip says insurance has been claimed, but has not disclosed any expected recovery.

2 Credit losses are in range, but rising

US net bad debts were 1.93% of TTV, up from 1.67% in 4Q26 but inside the 1.5% to 2.0% target. Zip attributes the move mainly to seasonality, plus some effect from lower TTV during the fraud response.

3 Margin below the full-year goal

Operating margin was 17.3% (19.5% in 1Q26), or 20.0% on adjusted earnings. FY27 guidance is 20% to 22%.

BALANCE SHEET AND CAPITAL

Funding. Zip priced its first US asset-backed security: a two-year US$300.0m transaction at a fixed 5.68% yield. At 30 September 2026 it had A$452.0m of total cash and A$224.4m of available cash and liquidity.

Buybacks. By 30 September, 7.6m shares had been bought back for A$15.7m under a program of up to A$50m. Separately, Zip bought 9.7m shares for A$23.7m through its Employee Share Trust to limit dilution.

WHAT TO WATCH

2Q27 US bad debts
Zip forecasts them to be lower than 1Q27 and within the top half of the 1.5% to 2.0% range.

US growth after the fraud response
Zip says September TTV rose 41% (US dollars) and momentum continued into October.

Share consolidation
A 5-for-1 consolidation goes to shareholders at the AGM on 19 November 2026. If approved, it would change the share count and quoted price, not the value of holdings.

Investor events
Evans & Partners conference on 28 October and UBS Australasia conference on 10 November 2026.

TAR TAKE

Zip grew volumes and revenue strongly while holding its guidance, which is the positive. What has to be proven is that the fraud event was a contained, one-off cost, that US credit losses fall back as management says, and that earnings pick up enough to cover the gap to A$340m. The company has not explained how earnings re-accelerate through FY27 beyond reconfirming its targets. This is TAR's interpretation, not a company statement.

Sources: Zip Co Limited ASX announcements dated 23 Oct 2026 (1Q FY27 results update), 20 Aug 2026 (FY26 Results Update) and 16 Oct 2026 (Proposed consolidation of share capital). TAR calculations: 340.0 - 65.0 = 275.0; 275.0 / 3 = 91.7; 65.0 / 340.0 = 19.1%. Cash EBTDA, TTV and adjusted figures are company-defined measures. Guidance is subject to market conditions. A$ unless stated. General information only. Not financial advice.